

Sysco Corp.

Ticker: SYY

Current Price: \$73.14

Recommendation: Buy

Target Price: \$85.79-
\$95.54

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Company Overview

Broadline foodservice distributor

- Founded in 1969, headquartered in Houston, Texas.
- Food, beverages, kitchen equipment, etc.
- Mission: “Connecting the World to Share Food and Care for One Another”

Customers

- Restaurants (from small diners to large chains), healthcare facilities, schools and universities, hotels, caterers, and government institutions

Notable Statistics:

- Serves 17% of the US foodservice market in the U.S.
- 337 distribution facilities throughout North America and Europe and operates in 90 countries
- 730,000 customers and 75,000 employees

Industry: Foodservice Distribution Market

Market:

- \$1.1 T
- Expected CAGR from 2025 to 2033: 7.2%

Demand:

- Full-service and Quick Service Restaurants, institutions, and health care facilities
- Hotels and resorts demand more premium and specialty foods
- International food chains

Opportunities

- Expansion of AI capabilities to drive efficiency and transparent supply chains
- Eco-friendly and sustainable sources
- Partner with specialty and premium suppliers

Financial Position

INCOME STATEMENT

- **Revenue: \$81.4B**
- **Gross Profit: \$15.0B | Gross Margin: 18.4%**
 - **High Volume, Low Margin Business Model**
- **Operating Income: \$3.1B**
- **Net Income: \$1.8B**
- **EBITDA: \$4.0B**

BALANCE SHEET

- **Total Assets: \$26.8B**
- **Long-Term Debt: \$12.4B (before acquisition)**
- **Cash & Equivalents: \$1.2B**

CASH FLOW STATEMENT

- **Capital Returned to Shareholders: \$2.14B**
 - **\$1.14B buybacks + \$1.0B dividends**
- **Operating Cash Flow: \$2.5B**
- **FCF: \$1.75B**

OTHER KEY METRICS

- **56 consecutive years of dividend growth**
- **ROA: 6.8%**
- **Interest Coverage Ratio: 5.1x**

Jetro Restaurant Depot Acquisition

- **Price: \$29B**
- Expected to close in 2027
- Cash-and-carry wholesaler industry which serves independent restaurants
- \$60–\$70B market
 - Jetro: 23–27% of the market
- Plan to open 125+ new locations
- Financial Impact
 - Revenue +~20% | EBITDA +~45% | Free Cash Flow +~55%
- Strong synergy savings
 - Save \$250M in next three years
- Standalone segment within Sysco, maintaining operating business model and leadership



Competitive Positioning

	Sysco	USFD	PFGC	UNFI
Market Cap (M)	\$34,080.70	\$19,828.93	\$13,917.88	\$2,724.12
Revenue (M)	\$20,555.01	\$ 9,643.66	\$16,159.79	\$7,797.62
Ratios				
Profitability				
Gross Margin	18.35	17.41	10.69	12.47
Operating Margin	4.20	3.37	1.36	0.78
Net Margin	2.17	1.71	0.52	-0.27
Return on Assets	6.85	4.81	1.93	-1.13
Return on Equity	83.64	15.30	7.75	-5.40
Return on Invested Capital	11.86	7.02	2.86	11.43
Operating Efficiency				
Days of Sales Outstanding	24.04	20.50	15.24	11.91
Days of Payables Outstanding	31.80	26.15	19.27	24.25
Net Operating Cycle	20.12	13.05	21.39	16.40
Leverage				
Total Debt/Total Assets (%)	55.07	39.99	43.32	45.08
Coverage				
(EBITDA-Capex)/Interest Expense	6.32	5.88	2.94	2.62
Net Debt/(EBITDA-Capex)	3.73	4.11	6.76	8.81

	EPS	EBITDA	EBIT
Company	P/E	EV/EBITDA	EV/EBIT
Comparable Markets			
US Food Holding Corp (USFD)	30.58	12.44	16.76
Performance Food Group Company (PFGC)	38.19	12.85	24.05
United Natural Food Inc (UNFI)	0.00	9.09	20.67
Mean	22.92	11.46	20.49
Median	30.58	12.44	20.67
Target			
Sysco (SY Y)	19.18	10.88	14.30

Buy Risk

Macroeconomic:

- Higher inflation = higher costs for food, fuel, and delivery
- Rising interest rates make debt more expensive

Jetro Deal:

- Wholesale food is not a fast-growing industry
- Jetro's market is relatively small
 - \$60-\$70B market
- Adding 125+ new locations = operational challenge
- Success depends heavily on using AI/automation to cut costs

Sysco's Own Weaknesses:

- Large amount of debt, lower credit rating from risk and increase in cost of debt
- Vulnerability: high concentration of customers in restaurant sector
- Strict food safety regulations and contamination issues can lead to lawsuits and recalls

Regulation:

- Government antitrust review
 - Failed acquisition of US Food Holding Co.
- New food safety and labor laws could raise costs/restrictions

Value Drivers and Investment Thesis

M&A: Jetro Growth

Rising demand and expansion into new markets for fresh, diverse, and convenient food options

Dominant market position with strong historical sales and growth (17% market share)

Automation and AI enabling transparent, efficient supply chains

Dividend Discount Model (DDM)

Key Assumptions

CAPM / Cost of Equity: 6.59%

Beta (5Y): 0.47

Risk-Free Rate: 4.0% (30Y Treasury)

Market Risk Premium: 4.46% (Damodaran)

Terminal Growth Rate: 4.0%

Dividend Forecast

CF1: \$2.20 @ 2.0% | CF2: \$2.28 @ 3.7%

CF3: \$2.38 | CF4: \$2.47 | CF5: \$2.59 @ 4–5%

Terminal Value (Year 5): \$104.34

Total CF5: \$106.94

Conservative rates given Jetro acquisition period

DDM Output

\$87.25

Fair Value per Share

vs. Current Price: \$73.14 (+19% upside)

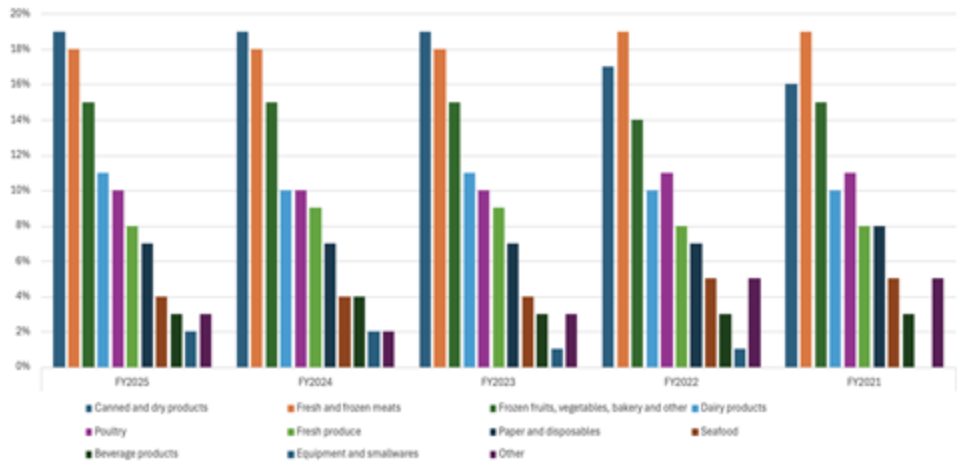
Why DDM

- Dividend Aristocrat: 56 consecutive years of dividend growth
- Management pausing buybacks due to Jetro acquisition
 - Dividends become the primary shareholder return vehicle
- Conservative growth rates (2–5%) reflect acquisition caution
- Dividends are stable, predictable, covered by FCF
- Prices directly what shareholders actually receive

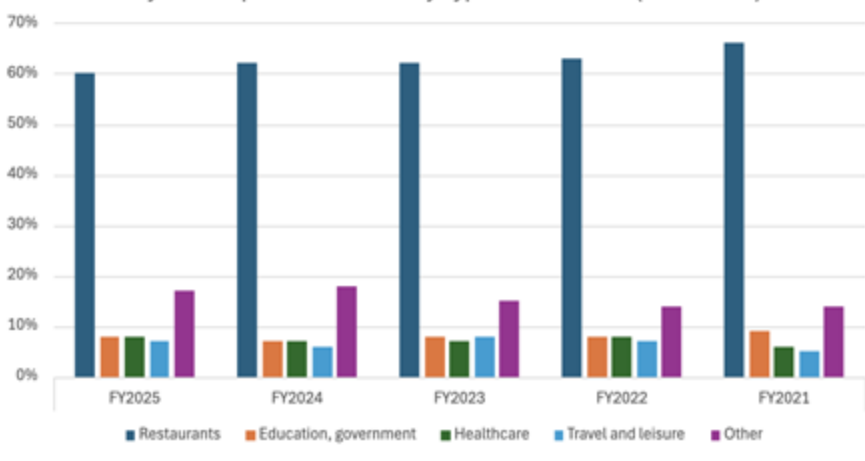
Limitation: Does not capture Jetro upside: FCFF is primary valuation

Business Segments

Sysco Corporation– Principal Product Categories (% of Sales)

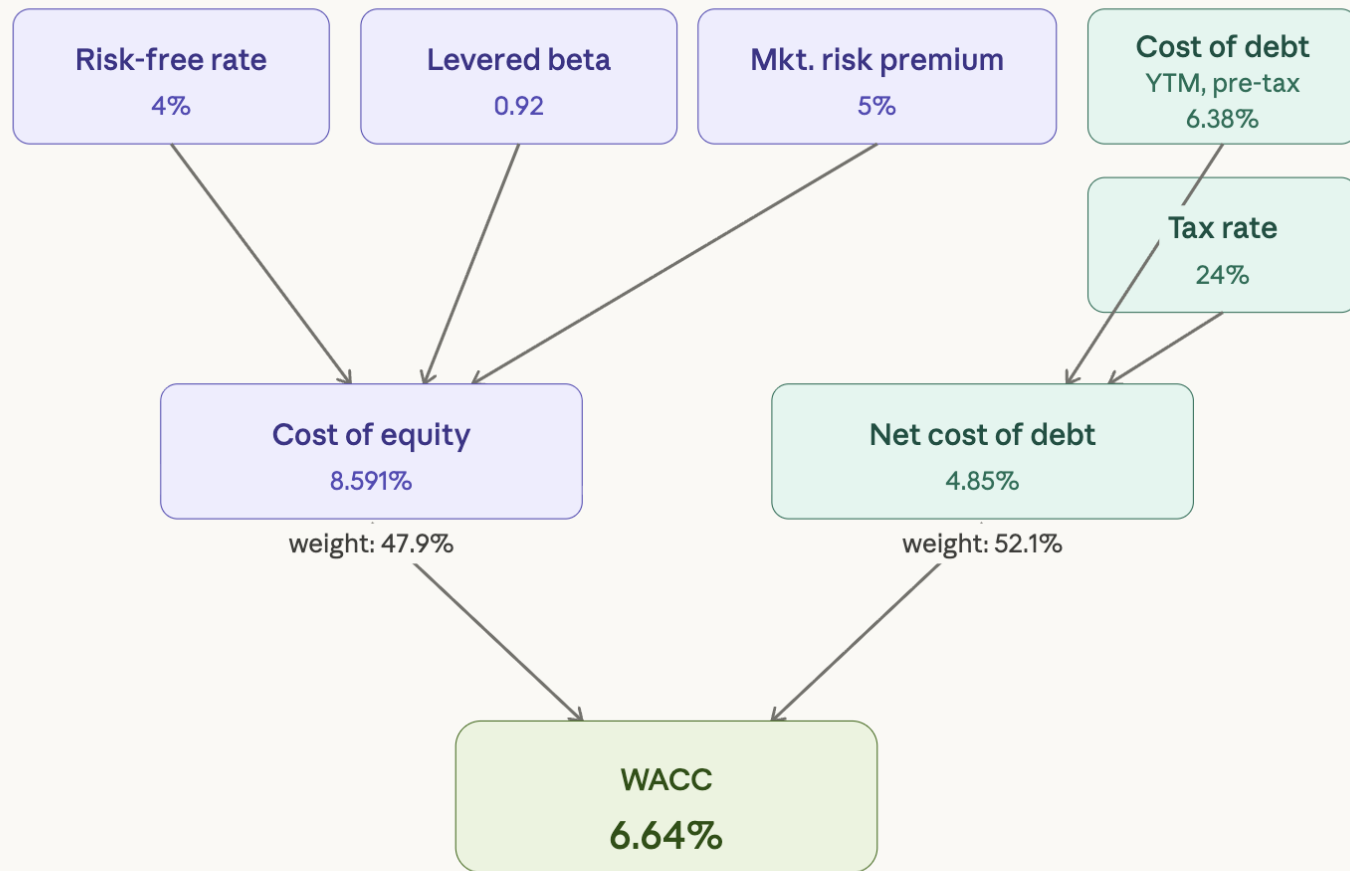


Sysco Corporation– Sales by Type of Customer (% of Sales)



Cost of equity

Cost of debt



$$(8.591\% \times 47.9\%) + (4.85\% \times 52.1\%) = 6.64\%$$

Free Cash Flow to Firm (FCFF) Valuation

Key Assumptions

Why FCFF

- Food distribution is non-cyclical - demand is constant regardless of economy
- Top 3 revenue categories highly consistent over 3+ years:
 - Canned & dry products
 - Fresh & frozen meats
 - Frozen fruits, veggies & bakery
- Sales mix by customer type also stable (restaurants, healthcare, education)

Revenue Forecast

- Organic growth: 4–5%/yr (conservative, per mgmt guidance)
- Jetro: \$8B in FY27 → \$16B in FY28+ (management base case)
 - Upside potential revenue beyond \$16B
- FY30 total revenue forecast: ~\$118B

Projected FCFF (\$M)

FY26: \$2,224M

FY27: \$1,438M (Jetro ramp + \$1B cash outflow)

FY28: \$2,839M

FY29: \$3,162M

FY30: \$3,298M

Perpetuity Method

Sum of DFCFs: \$54,509M

EV: \$54,509M

Equity Value: \$41,086M

Exit Multiple Method

EBITDA Multiple: 10.88x

TV (2030): \$63,548M

Equity Value: \$45,758M

Fair Value

Perpetuity:

\$85.79

Exit Multiple:

\$95.54

Current: \$73.14

Upside: 17-30%

Recommendation: BUY

BUY

SY Y | Sysco Corp.

Current: \$73.24

Target: \$85.79 - \$95.54

Valuation Summary

FCFF (Perpetuity): \$85.79/sh (+17%)

FCFF (Exit Multiple): \$95.54/sh (+30%)

DDM: \$87.25/sh (+19%)

WACC: 6.67% | Tax Rate: 24%

Bull Case Catalysts

Jetro integration drives \$17B+ revenue by FY30

Margin expansion via AI & automation

56-year dividend streak continues - yield grows

Multiple expansion as market reprices growth

Key Risks

- Net Debt/EBITDA: 2.9x (elevated post-acquisition)
- Jetro execution and integration complexity
- Macro: inflation, fuel costs, labor wage pressure
- Antitrust / regulatory review risk

Summary

- Market was rash in response to acquisition
- Jetro is transformational, not yet reflected in current price
- Strong FCF + defensive industry = high forecast confidence
- 3 independent models all confirm 17 - 30%+ upside